

RESPONSIBLE SUPPLY CHAIN REPORT BROCHURE

Nornickel group
2024





“In the context of rapidly changing market demands, supply chain management is not only a key driver of sustainable business growth but also an essential lever for ensuring safety and efficiency. At Nornickel, we systematically apply sustainability standards at every stage of the supply chain. This

enables us to comply with regulatory requirements and industry standards while building long-term partnerships with our suppliers.

We expect our contractors to follow the same principles of workplace safety, environmental responsibility, and respect for human rights, as set out in our Supplier Code of Conduct. Incorporating mandatory health and safety requirements into contractual arrangements, along with conducting due diligence on suppliers, helps ensure effective risk management and transparency across the entire supply chain.

The development of responsible supply chains is not just a challenge but a strategic opportunity to build a safe, environmentally focused, socially responsible, and competitive business capable of adapting to the evolving demands of today's global market.”

Stanislav Seleznev,
Vice President for Ecology and Industrial Safety
at MMC Norilsk Nickel

The Nornickel Group (“Nornickel”, the “Group”, or the “Company”) is a leader in the Russian metals and mining industry, the world's largest producer of palladium, and one of the leading global producers of nickel, platinum, copper, cobalt, and other metals. Nornickel advances its responsible supply chain practices in line with its mission to supply the world with non-ferrous metals, efficiently and safely using natural and financial resources. In its approach to supply chain

management, the Group is guided by PJSC MMC Norilsk Nickel's Supplier Code of Conduct (the “Code”) and Responsible Sourcing Policy (the “Policy”), which take into account, among other things, the recommendations of the Guidance of the Organisation for Economic Co-operation and Development (the “OECD Guidance”).¹ The Code and Policy formalise the Company's commitment to ethical conduct and social and environmental responsibility.



The brochure contains an executive summary of the Company's Responsible Supply Chain [Report](#) (the “Report”) available in Russian and English on the Company website.



1



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- 1 [PJSC MMC Norilsk Nickel's Supplier Code of Conduct](#)
- 2 [Responsible Sourcing Policy](#)

¹ OECD Guidance means the Organisation for Economic Co-operation and Development Due Diligence Guidance for Responsible Supply Chains of Minerals from Conflict-Affected and High-Risk Areas.

Summary of the Group's responsible supply chain results in 2024



Due diligence checks were conducted on mineral suppliers of entities from the Polar Division's Norilsk and Kola sites, including internal suppliers that are part of the Group. **No risks were identified in the supply chains** following the due diligence process.



Entities from the Polar Division's Norilsk and Kola sites were assessed by an independent auditor for compliance with the RMI¹ JDDS² standard as well as the OECD Guidance.



An assessment was held for the sustainability practices of the largest suppliers of goods, works, and services for compliance with the Code requirements, showing a **compliance rate of 48%**.



A comprehensive online training course on responsible supply chain was launched on the Nornickel Academy internal educational platform.

Approach to managing a responsible supply chain

The Company applies a systemic approach to responsible supply chain management, which includes the following:



monitoring of industry requirements and practices for a responsible supply chain;



development of corporate documents and systems;



supply chain analysis;



supplier engagement;



responsible supply chain disclosure.

Environmental impact is assessed throughout the life cycle of procured products. Nornickel requires its contractors to have a functioning environmental management system in place

and ensure that all goods and services supplied comply with the requirements of applicable environmental laws.

¹ RMI – Responsible Minerals Initiative.

² JDDS – Joint Due Diligence Standard for Copper, Lead, Molybdenum, Nickel, and Zinc.

Given the risk of potential negative environmental impact during cargo transportation, the Company sets requirements for suppliers as regards

goods packaging in accordance with GOST 26653-2015¹ and GOST 15846-2002² to ensure cargo safety during transportation and transshipment to the Far North.

ISO certification

Nornickel regularly confirms compliance of its internal process management systems with international standards, including³:

- ISO 9001:2015 Quality management systems;
- ISO 14001:2015 Environmental management systems;
- ISO 45001:2018 Occupational health and safety management systems.

As part of responsible supply chain management, the Group divides its suppliers into two categories:

1

Mineral suppliers⁴

2

Suppliers of goods, works, and services⁵

Responsible mineral supply chain

The Company has in place the supply chain Due Diligence Management System (the "System") setting out the procedure for conducting mineral supplier due diligence

to identify risks related to the supply of minerals from conflict areas, human rights violations, money laundering, fraud, and corrupt practices.

¹ GOST 26653-2015 Preparation of general cargoes for transportation.

² GOST 15846-2002 Production for transportation to the areas of the Far North and similar regions. Packaging, labelling, transportation, and storage.

³ For more details on other compliance certificates of the management system, please visit the Company [website](#).

⁴ The Group's mineral suppliers include suppliers of mined minerals (primary processed material which has never been previously refined) and suppliers providing minerals transportation, their processing and loading/unloading services.

⁵ Suppliers of goods, works, and services include all of the Group's supplier categories.



The System aims to ensure and monitor mineral suppliers' compliance with Nornickel's requirements set out in the Code and Policy and the applicable standards and initiatives.

The System places a particular focus on mitigating sustainability and operational risks in the supply chain – from working conditions to strengthening social stability in the regions, including areas where minerals are mined and processed.

In 2021, the System was rolled out at the Kola site of the Polar Division, and in 2022–2023, at entities of the Trans-Baikal Division and the Polar Division's Norilsk site. The System

and the results of supplier due diligence are described in more detail in Section 1 of the Report.

Responsible supply chain for goods, works, and services

In 2023, the Company established its approach to assessing sustainability practices of suppliers of goods, works, and services, which is based on sustainability principles and supplier requirements described in the Policy and the Code. Annual assessment

envisages a survey and includes an analysis of the supplier operations' ESG component. In addition, the survey serves as a dialogue and development tool to support suppliers in improving their sustainability practices.



The key purpose of the survey is to monitor the suppliers' compliance with Nornickel's corporate ESG standards set out in the Code and Policy.

In 2024, Nornickel assessed a sample of its largest suppliers of goods, works, and services¹, accounting for more than 35% of the Group's total procurement volume. Most of the surveyed vendors are non-public companies subject to less stringent

requirements for disclosing non-financial information. At the same time, the survey results indicate that these suppliers demonstrate a sufficient level of maturity in their sustainability practices.

Cooperation with local manufacturers

One of the priority areas in supplier engagement is a focus on procurement from local manufacturers to provide social support for Nornickel's operating regions.

in the Krasnoyarsk Territory
in the Murmansk Region
in the Trans-Baikal Territory

As a result, the volume of materials and services procured from local entities in 2024 increased as follows:

by 88% y-o-y

by 108.6% y-o-y

by 188.2% y-o-y

Cooperation with local agricultural producers contributes to the sustainable development of regions and supports the economic activity

of indigenous peoples of the North.

Training

Nornickel focuses on raising its employees' and suppliers' awareness of sustainable development and responsible supply chain.

In 2024, an online training course on responsible supply chain was developed and launched. The course was completed by Nornickel employees directly involved in supplier assessments. The training

programme also covered employees of internal mineral suppliers that are part of the Group. In addition, Nornickel holds working meetings with external suppliers to clarify its responsible supply chain standards and requirements. In 2025, the Company plans to engage a wider range of participants in responsible supply chain trainings.

**The total number of training hours
in responsible supply chain amounted to over**

>600
received training in responsible supply chain

1.8 thousand

¹ The largest external suppliers of the Group's Russian assets in terms of payment amounts in 2023.

Corporate Trust Line



In 2010, Nornickel set up its Corporate Trust Line ("CTL"), where stakeholders can report failures to comply with laws and the Company's internal policies.

Reports may be submitted anonymously and are handled in such a way as to ensure confidentiality, objectivity, and impartiality and to prevent retaliation against whistleblowers.

In 2024, the CTL received 52 reports classified under the Responsible Sourcing topic. For all the reports containing confirmed violations, corrective actions were taken to remedy the situation and eliminate negative consequences.



Nornickel works with partners who comply with applicable laws, ensure employee safety, and meet the Company's environmental requirements. Responsible supply chain management enables Nornickel to promote the sustainability agenda among its suppliers, encourage their compliance with the respective corporate standards set out in the Code and Policy provisions, manage associated risks, and increase the level of mutual trust.



